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Investor Presentation | Asia Pacific

Asia Summer School 2026: China Healthcare

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CHINA HEALTHCARE	
Asia Pacific	
Industry View	Attractive

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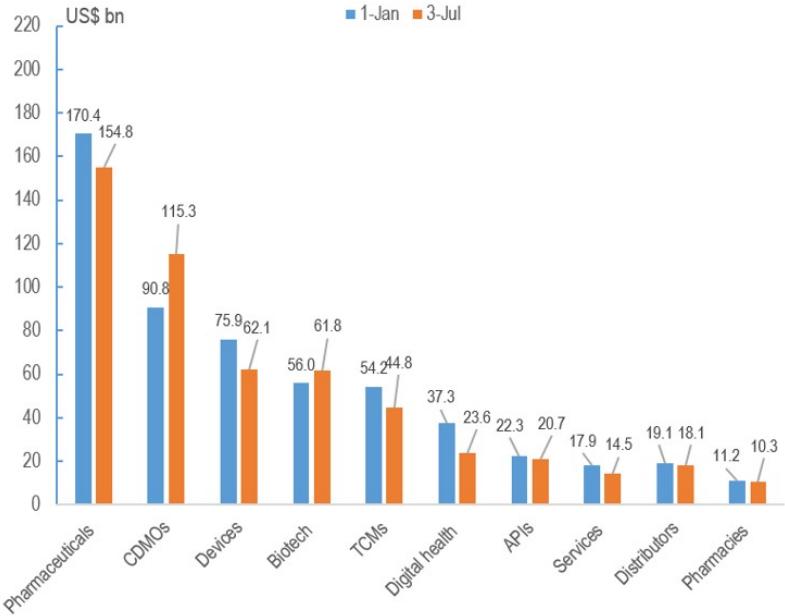
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Asia Summer School 2026



China Healthcare Universe

Year-to-date sector performance - aggregate market cap



Key sector events we track

Time	Event	Implications for stocks
Sep-Nov 26	NDRL and Catalog C negotiation (Sep-Nov) & result release (Nov)	Pharma, biotech
Ongoing	DRG/DIP expansion	Healthcare service, medtech, etc.
Ongoing	Equipment replacement stimulus for hospital	Medtech, etc.
Possibly 2H26/1H27	Anhui-led VBP for biosimilars	Pharma, biotech
Conferences & Exhibitions		
Sep'26	WCLC 2026	Pharma, biotech
Sep'26	PCR-CIT 2026 (Chengdu)	Medtech
Oct'26	ESMO 2026	Pharma, biotech
Nov-Dec'26	RSNA 2026	Medtech
Dec'26	SABCS 2026	Pharma, biotech
Dec'26	ASH 2026	Pharma, biotech

Source: FactSet; Morgan Stanley Research. Note: Constituents are the 89 healthcare companies under our coverage.

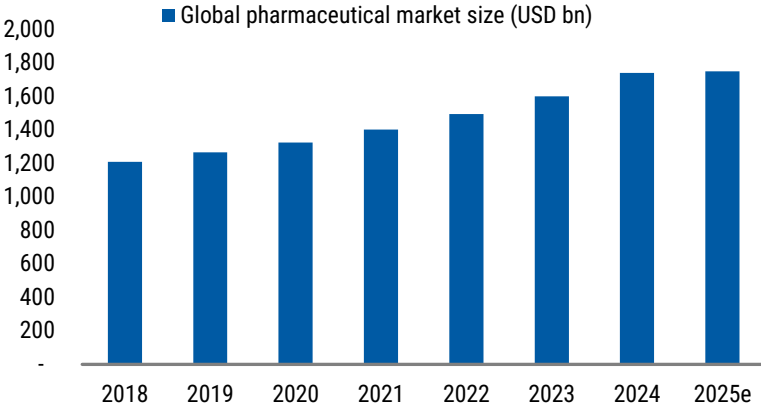
Pharma: China and Global TAM for Pharmaceutical Sales

China’s pharmaceutical market is sized at ~Rmb1.8trn...



Source: MENET, Morgan Stanley Research, E = MENET estimates

... And represents ~15% of the global pharmaceutical market



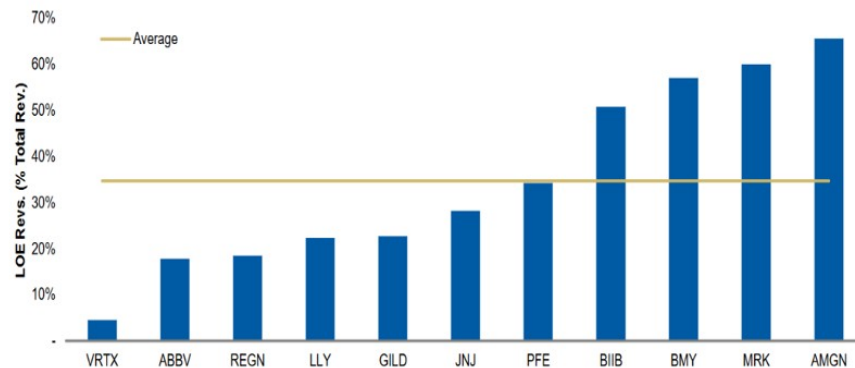
Source: Frost & Sullivan, Morgan Stanley Research. E = F&S estimates

Pharma: Out-licensing Momentum Stayed Robust 2026

Key Takeaways from Inaugural MS Biopharma Symposium

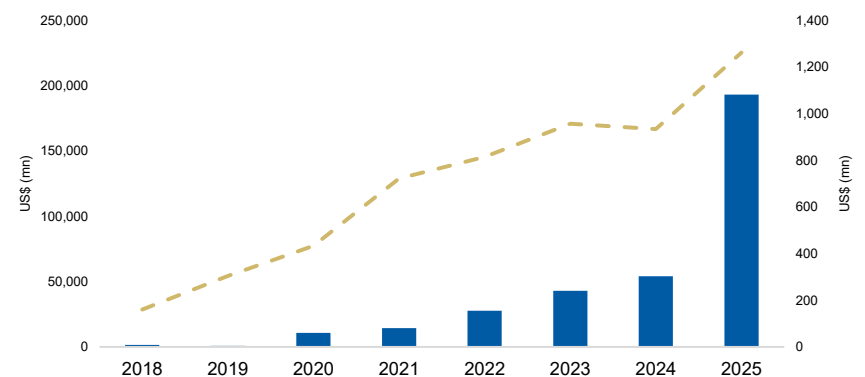
- Global recognition of China innovation is moving beyond engineering to the 2.0 Era - more novel modalities, disease areas and next-gen technologies.
- Correspondingly, BD deal models are broadening from pure out-licensing to NewCo, Co-co (co-commercialization) and strategic partnerships.
- Clean IP, corporate structure and globally translatable clinical development strategies are additional factors to consider in preparing for globalization.
- AI-driven drug discovery is shifting from platform narrative to asset generation.
- Hengrui is an example of China biopharma globalization, underpinned by end-to-end development capabilities and monetized via versatile BD models.

Global pharma % of 2025 revenue that goes off patent by the end of 2030



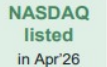
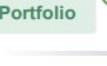
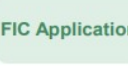
Source: GBI, Morgan Stanley Research.

China out-licensing: Upfront payments and total deal value (US\$ bn)



Pharma: Broadening Models to Globalization

Selected landmark deals from China biopharma				
Example Structure	Platform / Company	Asset / Area	Selected Economics	Globalization Signal
Hengrui w/BMS	Out-license, in-license, co-development and co-commercialization options	Oncology/hematology projects licensed to BMS, immunology projects licensed to Hengrui, co-developing five assets	US\$600mn upfront + US\$350mn anniversary payments; ~US\$15.2bn milestones; tiered royalties; co-commercialization rights for certain assets	Portfolio-level sourcing at scale: global pharma securing repeat pipeline access from China, also reverse-licensed own asset to China pharma, plus co-developments and co-commercialization rights
Hengrui → Kailera	NewCo	Cardio-metabolic (GLP-1 franchise)	Kailera NewCo completed US IPO in Apr-26; Hengrui owns 13.6% stake	Common out-license interests plus equity interests with clear exit paths
CSPC w/AstraZeneca	Ex-China license with AstraZeneca	Long-acting platform including GLP-1R/GIPR and seven other assets	US\$1.2bn upfront; US\$3.5bn R&D and US\$13.8bn commercial milestones, double-digit royalties	Repeated partnerships with deepening scope; China pharma contribution for early-stage metabolic assets
3SBio w/Pfizer	Late-stage license with Pfizer	SSGJ-707 PD-1/VEGF	US\$1.4bn upfront; US\$4.8bn+ milestones; tiered double-digit % royalties	Large upfronts signal late-stage clinical validation
Hansoh w/GSK	Ex-China license with GSK	HS-20093 B7H3 ADC, HS-20089 B7H4 ADC	US\$260mn upfront; US\$3bn milestones; tiered sales royalties	Smooth global development across indications leveraging China PoC
Hengrui case study: Out-licensing, NewCo and strategic alliances				

Out-licensing (Leading MNC/Biotechs)	NewCo (Top-tier PE/VCs)	Strategic Alliance (MNCs)
 MSD Lp(a) inhibitor  World's 2 nd oral inhibitor 	 Together with   NASDAQ listed in Apr'26 - Multiple GLP-1-based assets  Largest NewCo deal in China  Largest biotech IPO of all time  BIC Portfolio	 - PDE3/4i + up to 11 program options across respiratory, I&I and oncology  Landmark deal b/w a MNC and Chinese PharmaCo  FIC/BIC Portfolio
 TSLP mAb (acquired by )  World's 1 st ultra LA TSLP 	 Together with   World's 3 rd myosin inhibitor, with superior efficacy, safety and simplified dosing  Super Fast-Follow  BIC Potential	 13 programs in oncology, hematology and immunology - Joint R&D efforts on novel assets leveraging Hengrui platforms  Co-Co opportunities  FIC/BIC Portfolio
 DLL3 ADC  73% ORR (effective dose)  BIC Potential		
 GnRH antagonist  World's 1 st oral-a for ART  FIC Application		

Source: Company data, Morgan Stanley Research.

Pharma: Broadening Models to Globalization (Continued)

Top 15 China BD deals ranked by total deal size, 2025-1H26

China Biopharma/Biotech	Licensee	Total deal value / USD	Upfront fee / USD	Product/technology	Mechanism of action	News date
CSPC	AstraZeneca PLC	18,500,000,000	1,200,000,000	Once-monthly injectable weight management products; Proprietary sustained-release delivery technology platform and peptide drug AI discovery platform SYH2082	Long-acting delivery	2026-01-30
Jiangsu Hengrui	Bristol-Myers Squibb	15,200,000,000	600,000,000	13 early stage programs spanning oncology, hematology and immunology	NA	2026-05-12
Genequantum Medicine (Suzhou)	Biohaven, Ltd.;AIMEDBIO	13,000,000,000	Not available	Basket of ADCs	ADCs	2025-01-24
Jiangsu Hengrui	GlaxoSmithKline	12,500,000,000	500,000,000	HRS-9821	PDE3/4 and others	2025-07-28
Innovent Biologics	Takeda	11,400,000,000	1,200,000,000	IBI363, IBI343, IBI3001	PD1/IL2, CLDN18.2 ADC, EGFR/B7H3 ADC	2025-10-22
Innovent Biologics	Pfizer	10,500,000,000	650,000,000	A sweeping global strategic partnership spanning 12 early stage, first-in-class oncology discovery and R&D programs with breakthrough potential	NA	2026-05-29
Innovent Biologics	Eli Lilly	8,850,000,000	350,000,000	The innovative drugs in the oncology and immunology fields	NA	2026-02-08
Shanghai Fosun Pharmaceutical	Clavis Bio	7,250,000,000	Not available	Basket	NA	2025-12-18
3SBio	Pfizer	6,050,000,000	1,250,000,000	SSGJ-707	PD1/VEGF	2025-05-20
RemeGen Co., Ltd.	AbbVie	5,600,000,000	650,000,000	RC148	PD1/VEGF	2026-01-13
Shanghai Argo Biopharma	Novartis AG	5,360,000,000	160,000,000	Two molecules in early stage research, another siRNA candidate drug in preclinical research BW-00112	siRNA	2025-09-03
CSPC	AstraZeneca	5,330,000,000	110,000,000	A preclinical-stage oral small-molecule therapy for immune disorders	NA	2025-06-13
Harbour BioMed	AstraZeneca	4,680,000,000	175,000,000	Multi-specific antibody platform	Multi-specific antibodies	2025-03-21
Suzhou Ribo Life Science	Madrigal	4,400,000,000	60,000,000	Six innovative siRNA therapies for MASH	siRNA	2026-02-11
RemeGen	Vor Biopharma	4,230,000,000	125,000,000	Telitacicept	BLyS/APRIL	2025-06-25

Source: GBI, Company data, Morgan Stanley Research.

Pharma: Catalyst Watch and Policy Trackers

MS Policy and Industry-event Trackers

Beijing Health Check

- 2025 NRDL Results Takeaways
- More Liberal Pricing for Innovative Drugs in China
- Online Prescriptions for Injectable Drugs

Catalyst Previews

- ASCO 2026 Abstracts – Pharma Edition
- Key Summer Events for China Pharma
- Earnings Previews

Event Takeaways

Takeaways from Inaugural Morgan Stanley China Biopharma Symposium

China Healthcare Trip Takeaways: China Pharma Edition

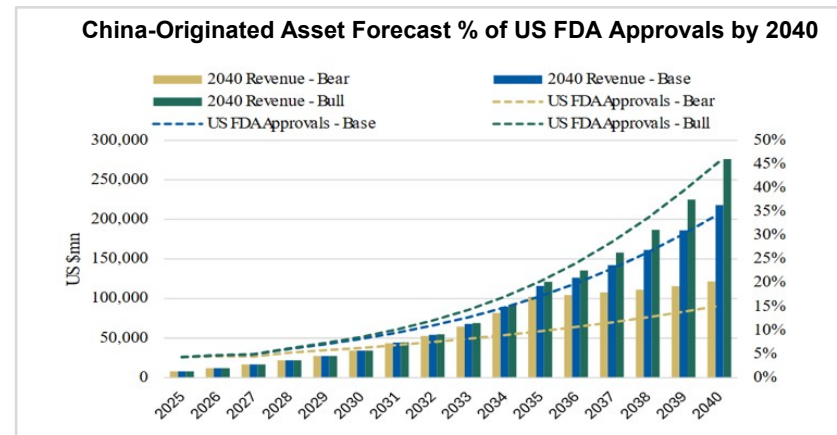
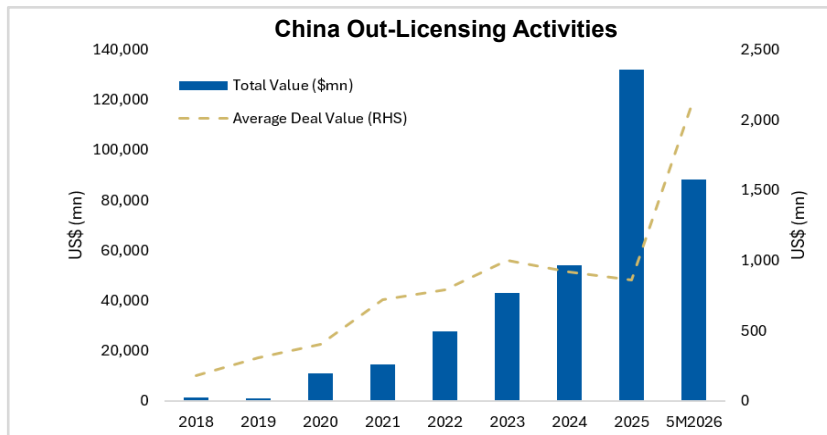
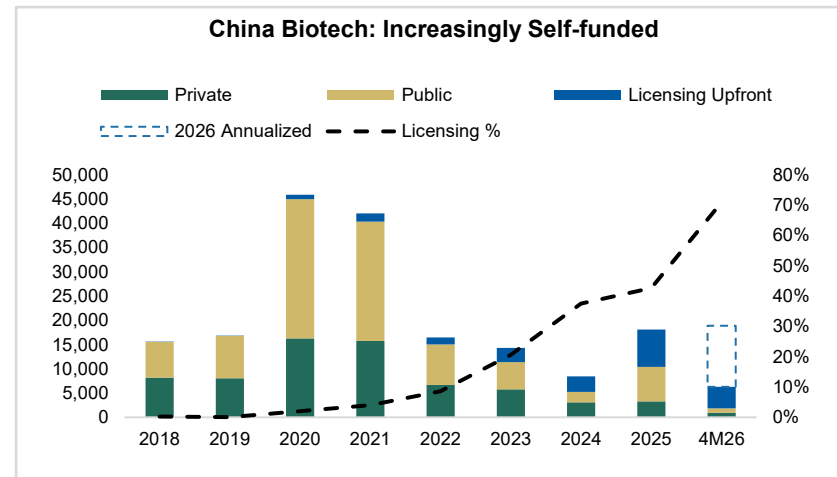
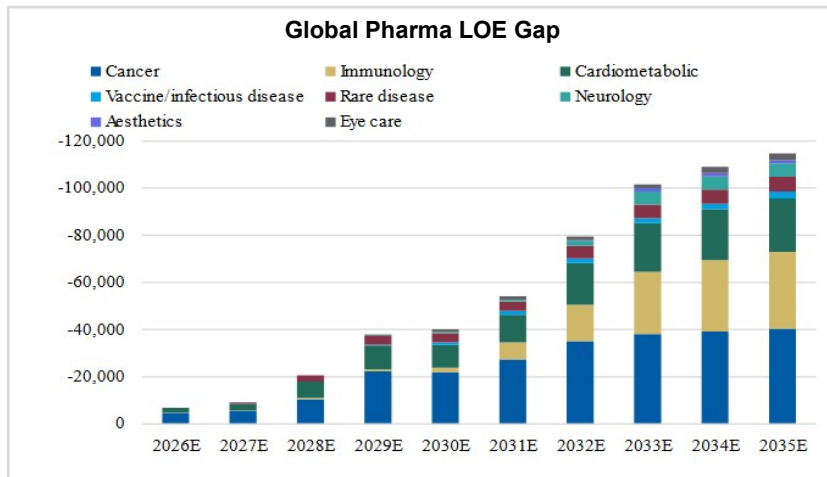
Single-stock Insights

China Biopharma: Key industry-level catalysts for 2H26

Event	Timing
Academic conferences	
EHA	June 11-14, 2026
ERS Congress	September 5-9, 2026
WCLC	September 12-15, 2026
EASD	September 28- October 2, 2026
MS Global Healthcare Conference	Septemeber 14-16, 2026
ESMO	October 23-26, 2026
ASH	December 12–15, 2026
SABCS	December 8-11, 2026
Industry/Policy	
Director of National Intelligence (DNI) assessment report on global threats	June 18, 2026
Supplemental information submission deadline for NRDL and commercial insurance	July 3, 2026
Implementation of new sales representative policy	August 1, 2026
Release of drug list eligible for negotiations for NRDL and commercial insurance	August-September, 2026
Negotiations for drug prices/bidding	September-October, 2026
Release of final drug lists for updated NRDL and commercial insurance	October - November, 2026
Potential announcement of Biosimilar VBP	2H26

Globalization: Push and Pull Factors into Globalization

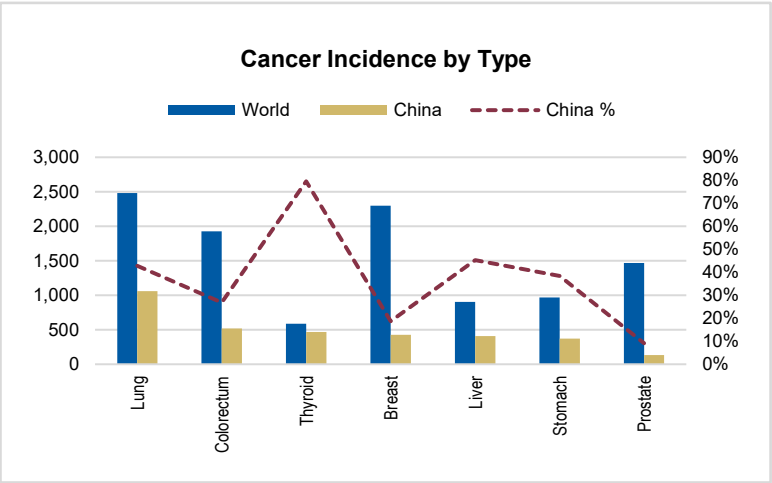
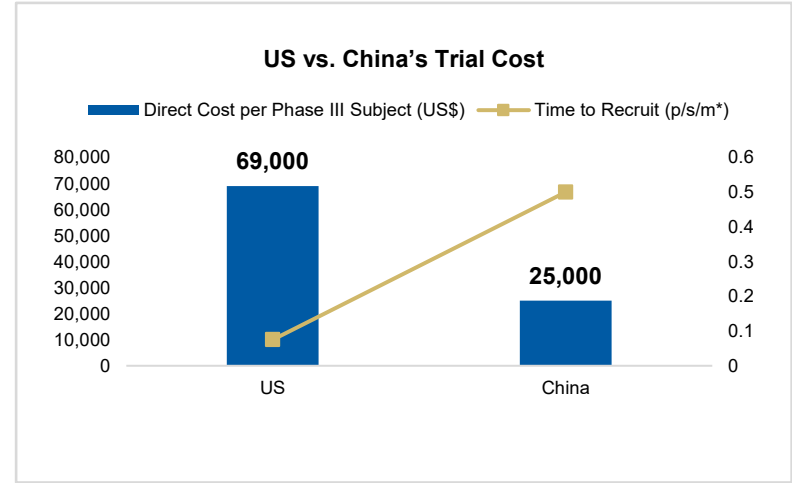
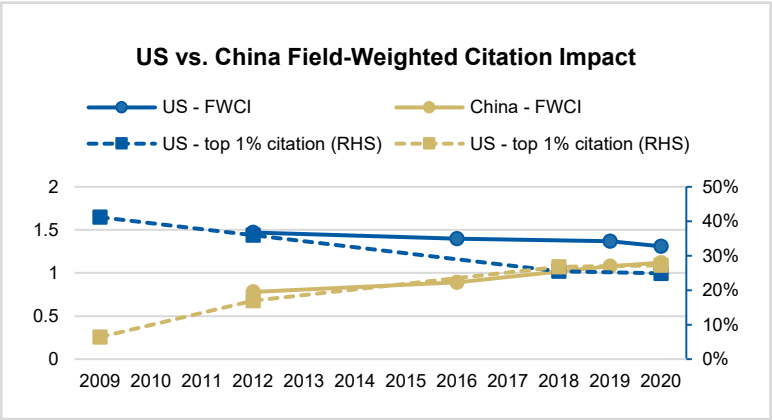
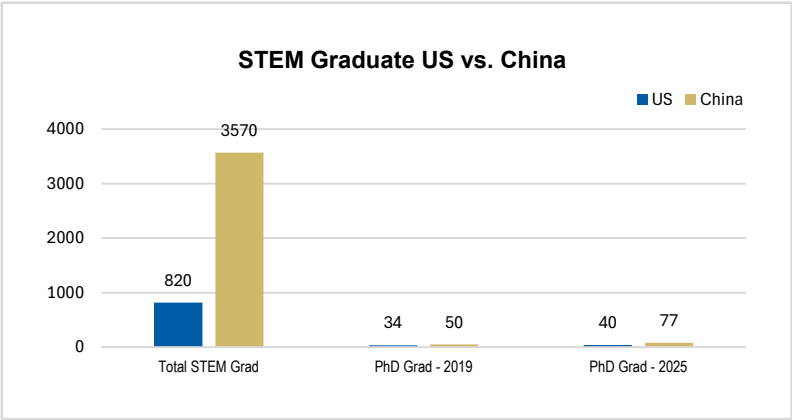
With Global pharma LOE gap as a demand factor, and rising risk capacity and financial resilience of China biotech, globalization momentum continues



Source: Morgan Stanley Research estimates; IQVIA Institute; GBI; US FDA; FactSet.

Biotech: China Supply Drivers

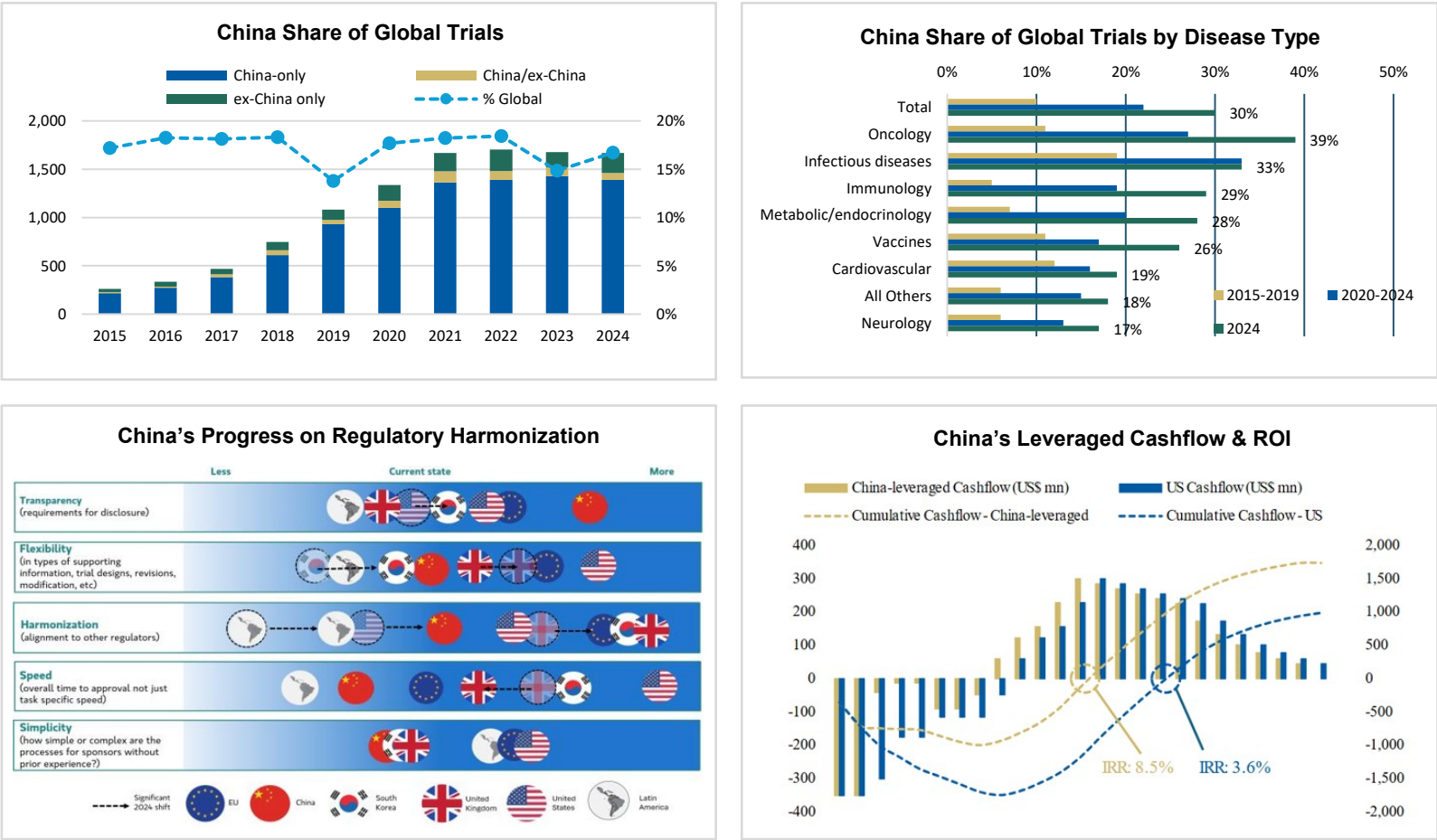
Talent, publication quality and capital cycles explain why the pipeline supply is durable



Source: China Ministry of Education; US NCSES; Elsevier Scopus; Clarivate InCites; Springer Nature; GBI; Morgan Stanley Research.

Biotech: From Supply to Conversion

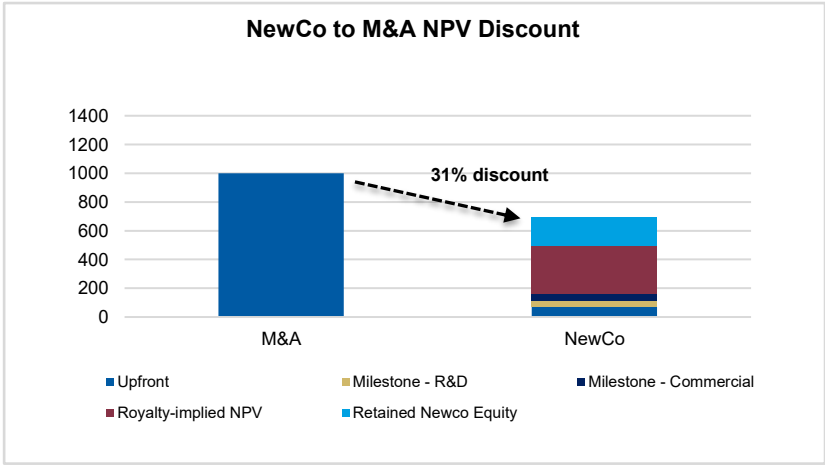
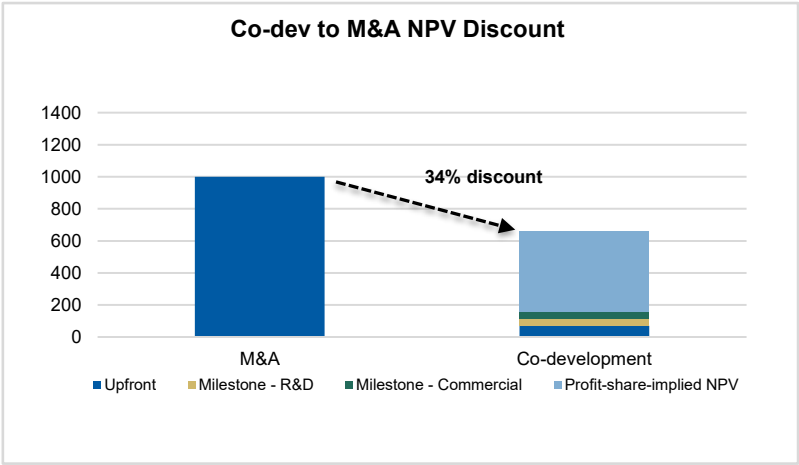
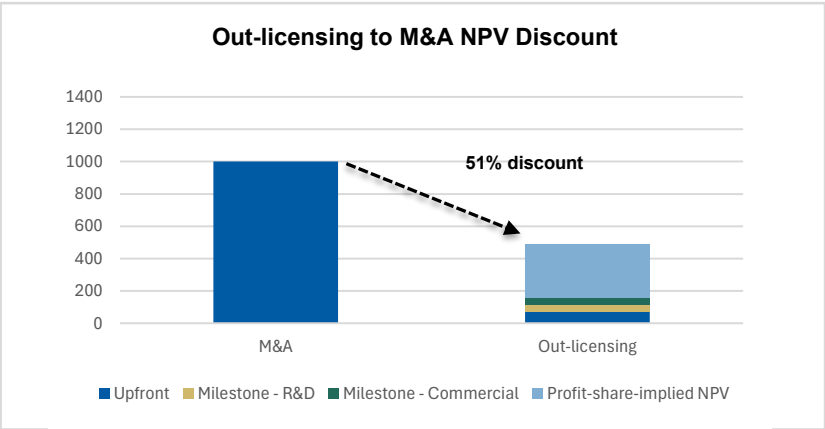
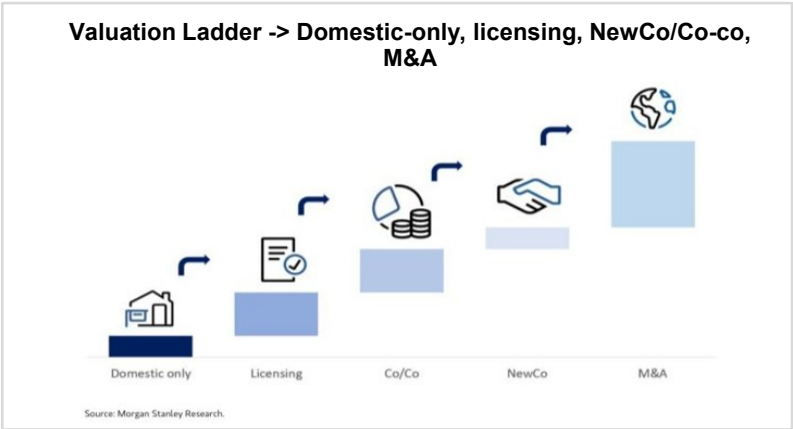
Trial design, population mix and regulatory acceptability determine whether China-originated assets can convert globally



Source: China Ministry of Education; US NCSES; Elsevier Scopus; Clarivate InCites; Springer Nature; GBI; Morgan Stanley Research.

Biotech: Evolution of Deal Structure

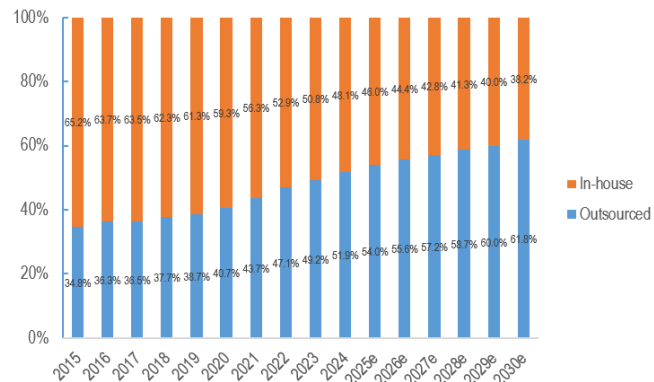
Headline deal value often overstates validation; retained economics determine true value



Source: Company data; Morgan Stanley Research.

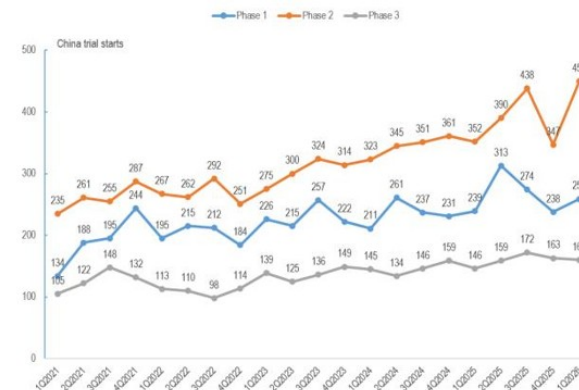
CRO/CDMO – China Emerging as a Global R&D Base

Global pharma CRO outsourcing rate set to reach 62% by 2030e



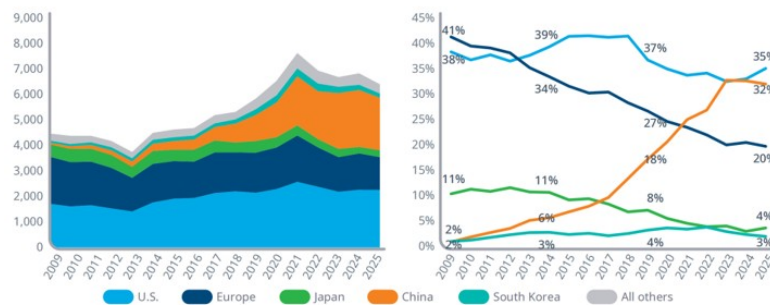
Note: CRO = contract research organizations. Source: Frost & Sullivan estimates; WuXi AppTec; Morgan Stanley Research.

Clinical trial starts in China have surged in the 5 years



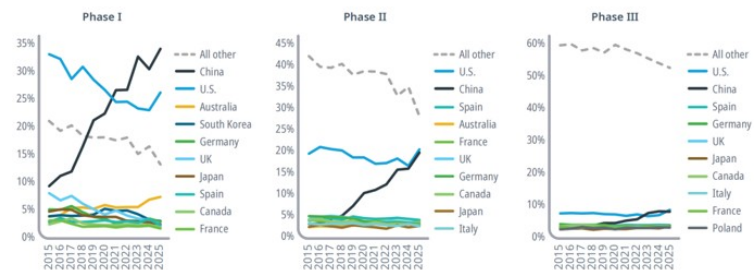
Source: ClinicalTrials.gov, Morgan Stanley Research. Note: This is a restated version of China clinical trial start data. Data are subject to revision as sponsors may upload or update trial registrations retrospectively.

Phase I-III trial starts based on sponsor headquarters



Source: Citeline Trialtrave, IQVIA, Morgan Stanley Research.

Share of industry interventional trial country uses for top-10 markets in 2025 (Phase I-III)

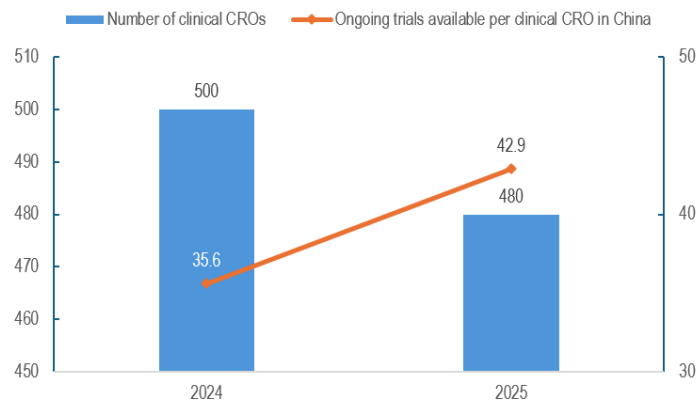


Note: "Interventional" means involving a therapeutic agent. Source: Citeline Trialtrave, IQVIA, Morgan Stanley Research.

CRO/CDMO – Demand for China CRO Services Is on the Rise

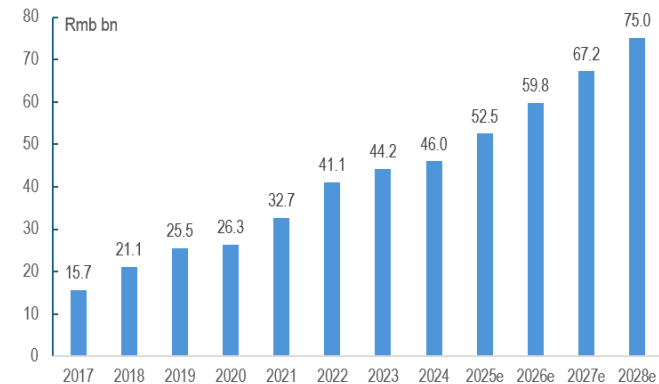
- MNCs/biopharmas are more inclined to partner with Chinese CROs due to their advantages on cost, efficiency, tech capability and favorable regulatory environment.
- The IND review process has been cut from 60 to 30 days in China.
- The US FDA has now unveiled plans to shorten the IND phase by 6-12 months, following its call to ban the use of China data in IND applications, to compete with China.

Normalizing supply and demand in China clinical trial outsourcing



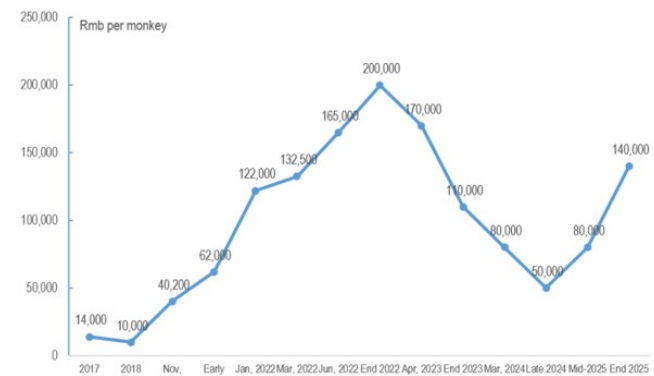
Source: Frost & Sullivan; Tigermed; Morgan Stanley Research.

China clinical CRO market is expected to pick up significantly in 2025-30e



Source: Frost & Sullivan estimates; Tigermed; Morgan Stanley Research.

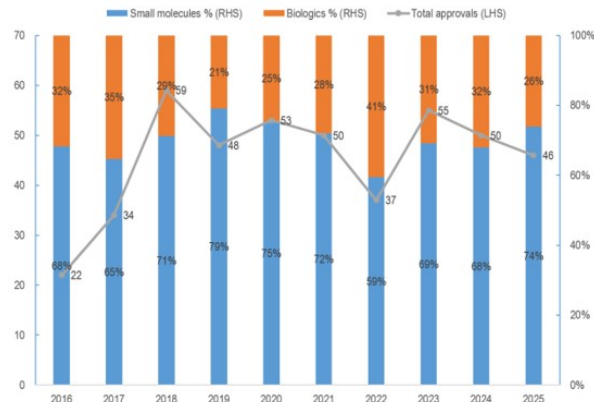
China lab monkey prices are trending higher



Source: Sixth Tone; Exigyn; The China Project; Global Times; Gelonghui Finance; Joinn Labs; Morgan Stanley Research.

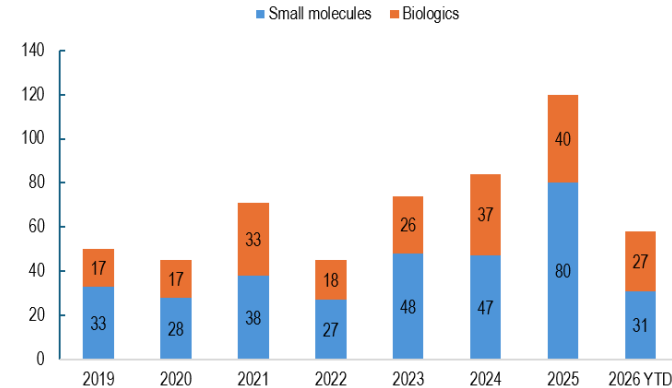
CRO/CDMO – Small Molecules a Significant Growth Driver

FDA drug approvals in the past 10 years



Note: Small molecules include peptides and oligo-nucleotides. Source: "The Pharmaceutical Industry in 2025: An Analysis of FDA Drug Approvals from the Perspective of Molecules", Molecules 2026, 31, 419; Morgan Stanley Research.

NMPA drug approvals in the past 10 years



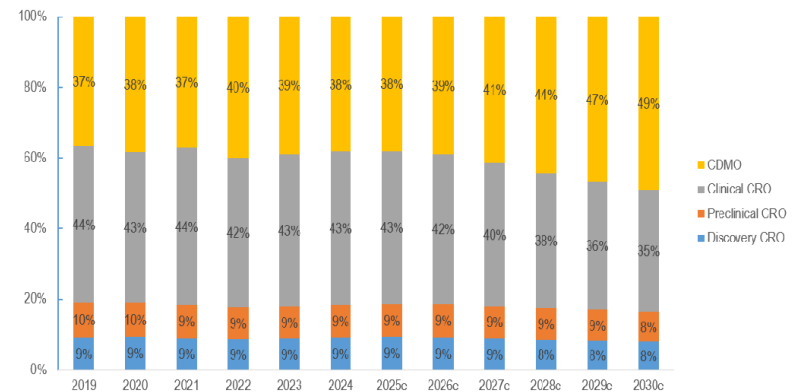
Source: PharmCube; NMPA; Morgan Stanley Research.

Latest CDMO book-to-bill ratios and backlog growth YoY

	Book-to-bill ratio	Backlog growth
Apeloa	2.99	13%
Tigermid*	2.66	15%
Joinn Labs	1.84	41%
WuXi XDC*	1.73	50%
WuXi Bio*	1.42	24%
Asymchem	1.38	32%
WuXi AppTec	1.29	24%
Zhejiang Jiuzhou	1.02	20%-25%
Hepalink	0.59	67%
Medtide*	0.49	-31%

Note: * refers to FY2025. Apeloa backlog growth rate - QoQ. WuXi AppTec backlog - generally executable within 18 months. WuXi Bio backlog - within 3 years. WuXi XDC backlog - 12 to 18 months for revenue conversion. Apeloa backlog - within 3 years. Medtide backlog - revenue recognition within 2 years. Hepalink backlog - revenue recognition within 1 year and growth rate reflects the YoY change in 2025 vs. 2024. Source: Company data, Morgan Stanley Research.

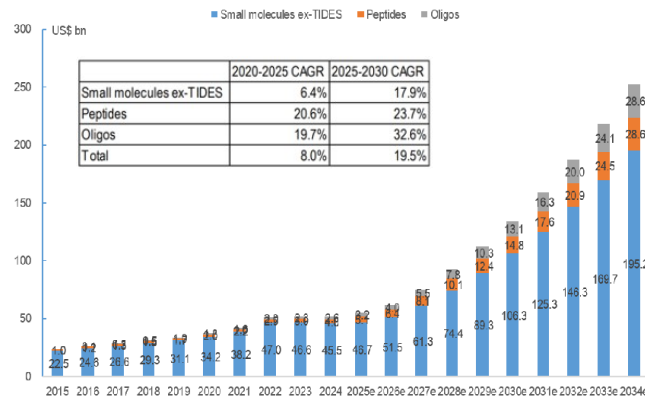
Breakdown of the global CRDMO market



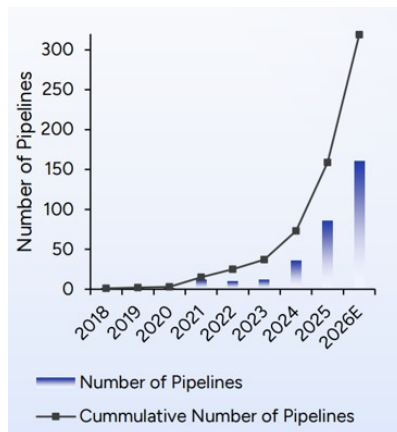
Source: Frost & Sullivan estimates; WuXi AppTec; Morgan Stanley Research

CRO/CDMO – Fast-growing Modalities

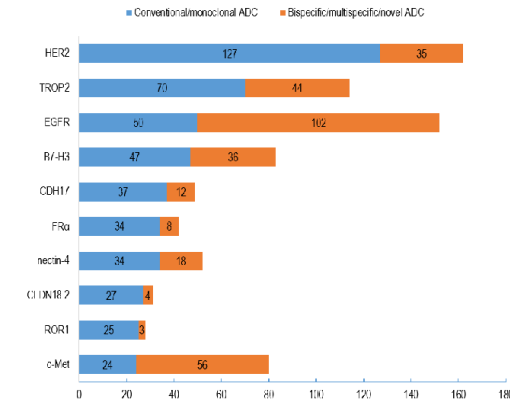
Global CDMO market for small molecules and TIDES is set to accelerate in the next 5 years



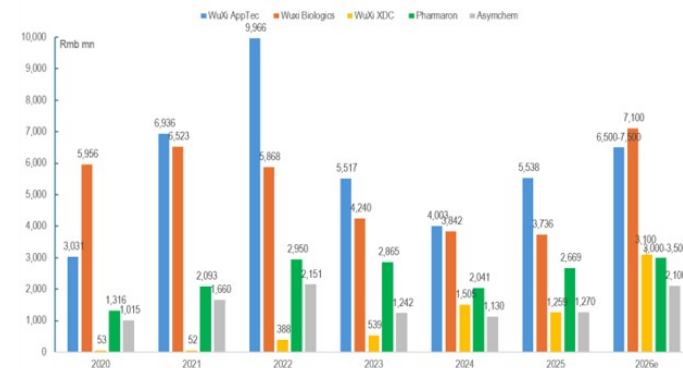
Number of in vivo CAR-T programs in the pipeline globally



Global ADC pipeline by antibody drug target

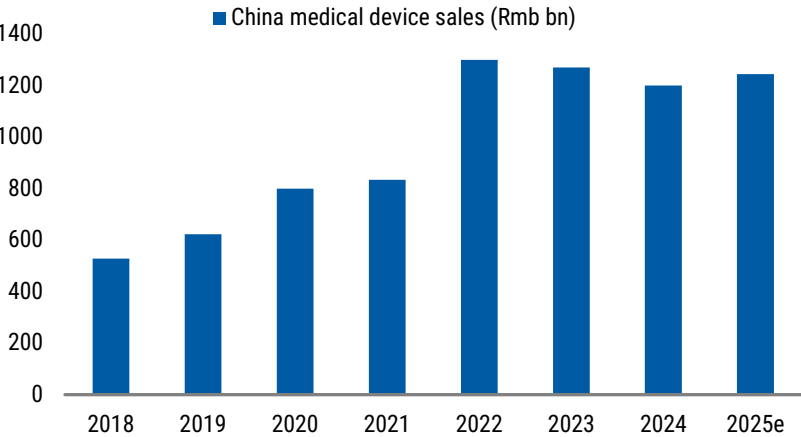


Capex spending of Chinese leading CDMOs



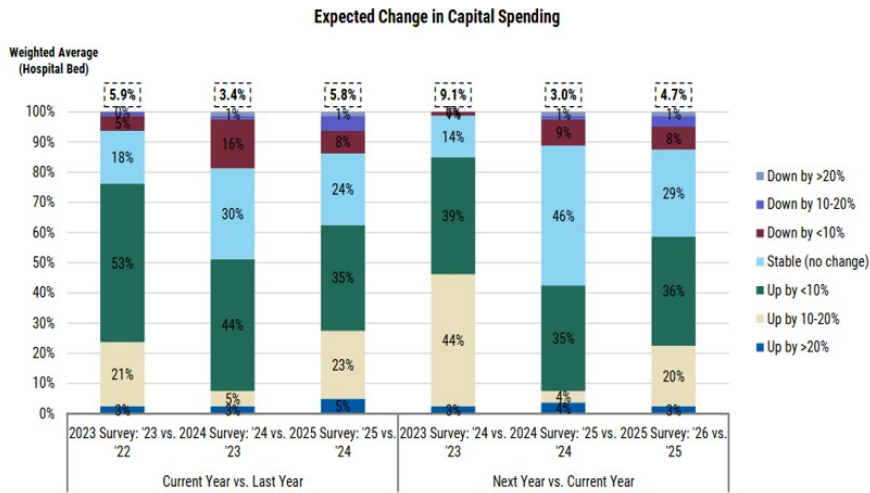
Medtech – China TAM and Capex Outlook

China’s medical device market is sized at ~Rmb1.2trn



Source: Frost & Sullivan, Morgan Stanley Research. E=Frost & Sullivan estimates

More hospital executives expect capex to increase in 2026 at a higher weighted average growth rate of 4.7%

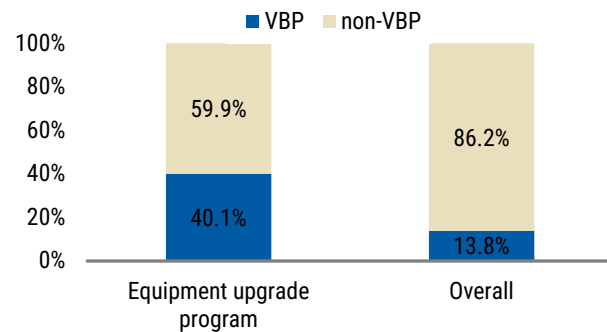


Source: AlphaWise, Morgan Stanley Research

Medtech – Domestic Market and Regulatory Environment

- **China Hospital AlphaWise Survey:** Annual survey of ~80 China hospital executives on capex outlook and brand preferences
- **US Dental AlphaWise Survey:** Quarterly survey of US dentists on brand usage, pricing and feedbacks
- **Beijing Health Check:** CMEF Takeaways
- **Beijing Health Check:** More Regional VBP for Medical Equipment Underway
- **Global Lateral read:** China MedTech Reimbursement call takeaways

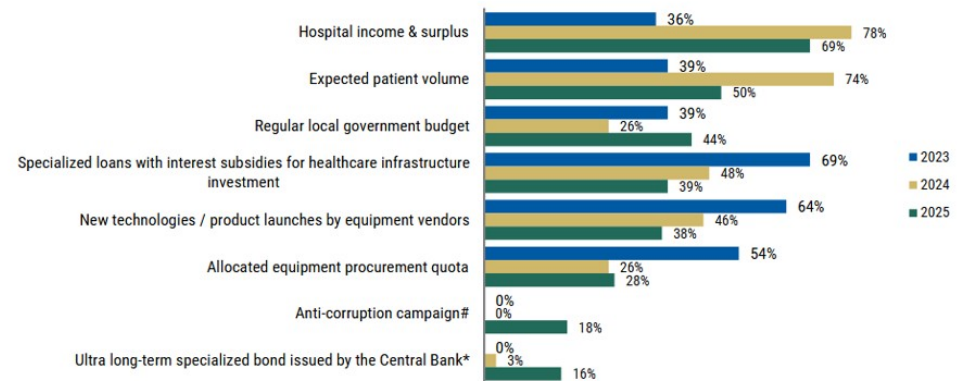
% of VBP in medical equipment, 2025



Source: Joinchain, Morgan Stanley Research

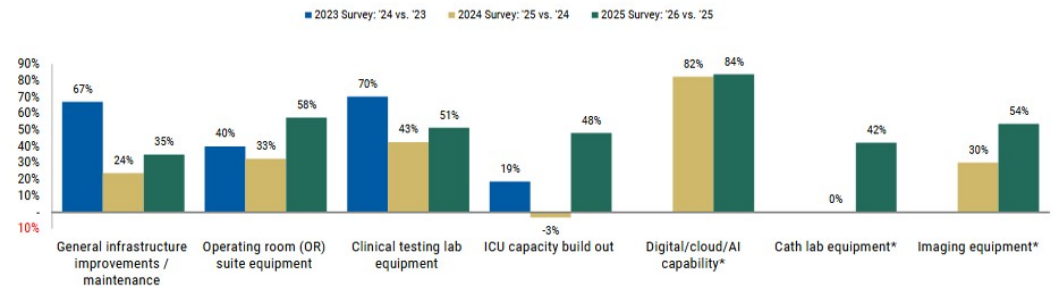
Hospital income & surplus, expected patient demand and local fiscal support are the top decision-making factors

Factors Affecting Capital Spending Decisions Over Next 12 Months



AI and digitization topped investment priorities, followed by OR, imaging, clinical labs, ICU...

Expected NET Change (% Increase - % Decrease) in Capital Spending Next Year by Category (excluding N/A)



* = newly added in 2024 survey; # = newly added in 2025 survey. Source: AlphaWise, Morgan Stanley Research

Medtech – Globalization on Robust Commercial Momentum

China medical device trade balance

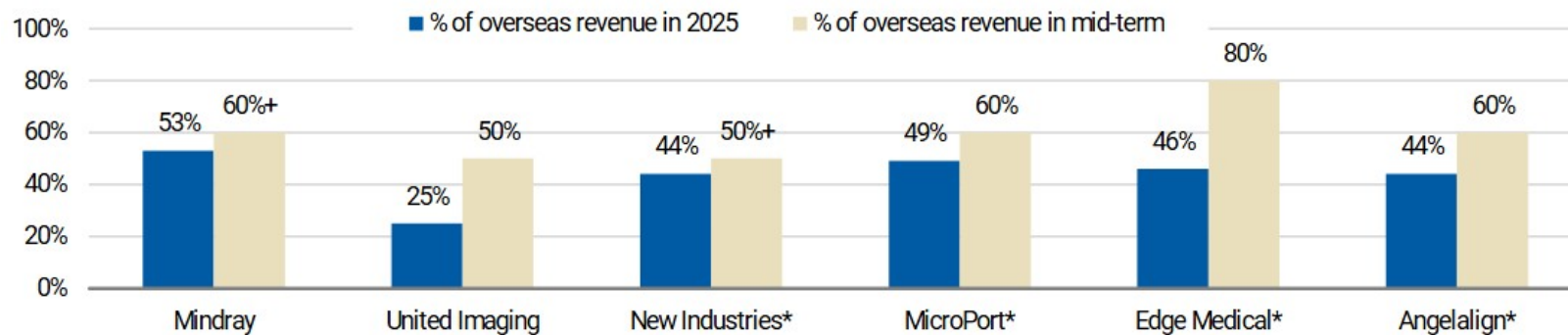
Year	Imports (USD bn)	Exports (USD bn)	Trade Balance (USD bn)
2025	48.0	52.4	-4.4
2024	49.1	49.9	-0.8
2023	49.1	46.0	3.1
2022	49.8	60.0	-10.2
2021	45.3	61.3	-16.0

Breakdown of export categories

Category	2025	2024	2023	2022	2021
Diagnostic Equipment	22.3%	22.0%	25.2%	25.1%	25.4%
Medical Consumables	29.7%	29.7%	29.2%	29.4%	34.1%
Other Devices	2.9%	2.8%	3.2%	3.1%	2.9%
In Vitro Diagnostic Reagents	36.6%	36.4%	32.1%	32.5%	26.3%
IVD Analyzers	8.5%	9.0%	10.4%	10.0%	11.4%

Source: Custom data, High-end Medical Devices Research Institute, Morgan Stanley Research

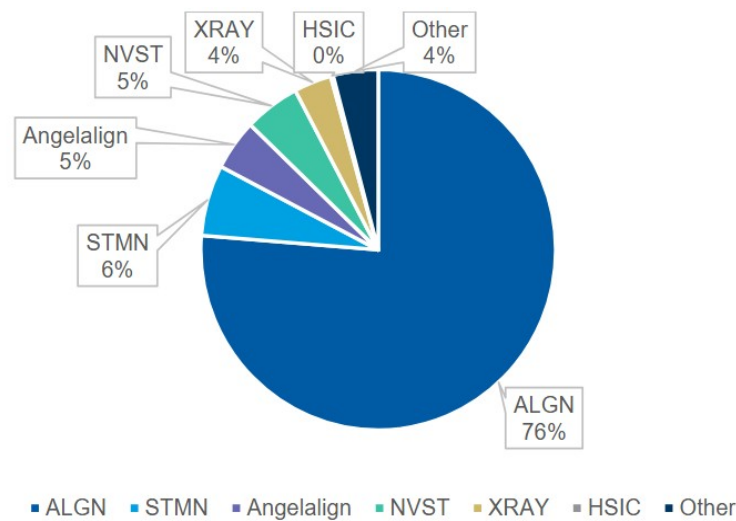
% of Overseas Revenue in 2025 vs. Medium Term, per Company target or MSe



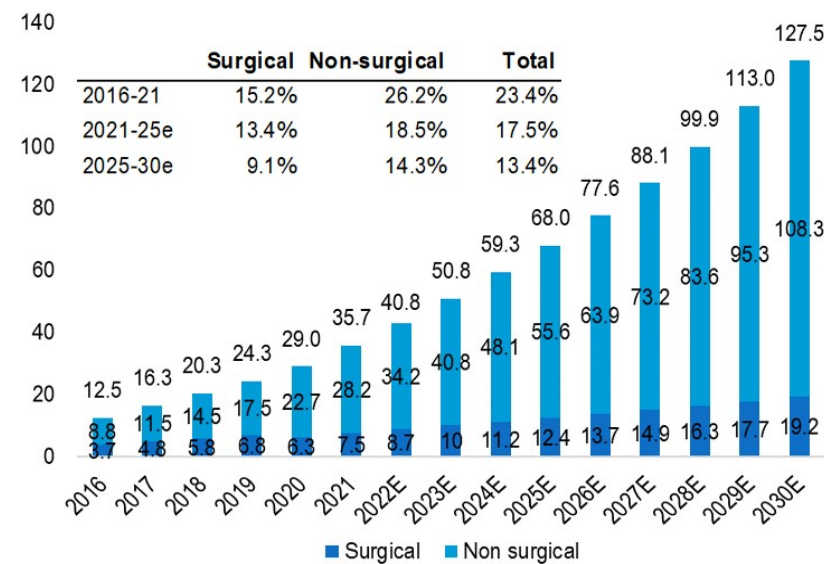
* = our estimates Source: Company data, Morgan Stanley Research estimates

Medtech – Aesthetics

Clear aligner: Estimate global market share for doctor-directed cases



China's medical aesthetic services market



E = F&S estimate Source: Frost & Sullivan, Morgan Stanley Research

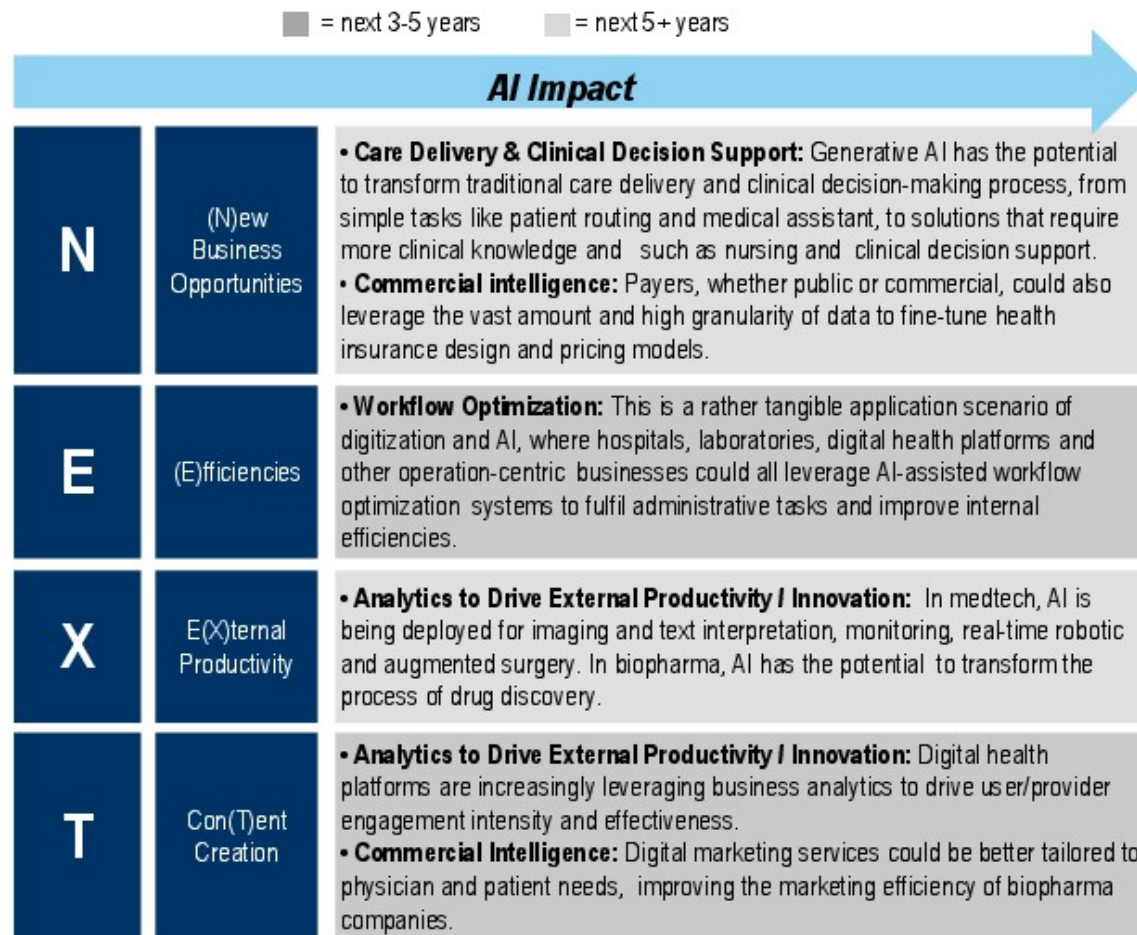
Internet Health

Company	Main business	Company	Main business
JD Health	Healthcare E-commerce, etc.	Ali Health	Healthcare E-commerce, etc.
Ping An Good Doctor	Digital health and medical services, etc.		

China Healthcare E-commerce Market Model														
Rmb bn	2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E
Total retail market of healthcare products														
Pharmaceutical sales in China	1,293	1,354	1,563	1,439	1,559	1,566	1,633	1,707	1,775	1,846	1,920	1,997	2,077	2,160
YoY %		6.5%	15.4%	-7.9%	8.3%	0.5%	4.3%	4.5%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%
Prescription drugs	1,074	1,127	1,319	1,211	1,315	1,299	1,357	1,418	1,474	1,533	1,595	1,658	1,725	1,794
YoY %		6.5%	17.1%	-8.2%	8.6%	-1.2%	4.4%	4.5%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%
% of total pharmaceutical market	83.1%	83.2%	84.4%	84.1%	84.3%	82.9%	83.1%	83.1%	83.1%	83.1%	83.1%	83.1%	83.1%	83.1%
OTC drugs	219	228	244	229	244	267	277	289	301	313	325	338	352	366
YoY %		6.5%	7.2%	-6.2%	6.7%	9.4%	3.7%	4.5%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%
% of total pharmaceutical market	16.9%	16.8%	15.6%	15.9%	15.7%	17.1%	16.9%	16.9%	16.9%	16.9%	16.9%	16.9%	16.9%	16.9%
Consumer health market	256	280	292	302	326	334	357	380	401	423	445	466	487	506
YoY %		6.5%	4.4%	3.2%	7.9%	2.6%	7.0%	6.2%	5.7%	5.4%	5.2%	4.8%	4.4%	4.0%
Pet care market	40	49	60	70	80	90	103	116	131	147	164	180	194	208
YoY %		6.5%	21.8%	17.2%	13.7%	13.0%	13.8%	13.1%	12.5%	12.1%	11.5%	10.0%	8.0%	7.0%
Total healthcare market	1,590	1,683	1,915	1,811	1,964	1,990	2,094	2,203	2,307	2,416	2,529	2,643	2,758	2,874
YoY %		6.5%	13.8%	-5.4%	8.4%	1.3%	5.2%	5.2%	4.7%	4.7%	4.7%	4.5%	4.3%	4.2%
Online sales & penetration														
Pharmaceutical sales in China			20.6	34.4	50.8	54.5	63.8	72.2	83.4	95.4	107.4	118.7	129.5	141.0
YoY %					47.7%	7.2%	17.2%	13.1%	15.5%	14.4%	12.6%	10.5%	9.1%	8.9%
Online penetration %			1.3%	2.4%	3.3%	3.5%	3.9%	4.2%	4.7%	5.2%	5.6%	5.9%	6.2%	6.5%
Prescription drugs			7.4	14.5	25.0	28.6	32.6	40.4	47.9	56.0	63.8	71.3	78.5	86.1
YoY %					71.9%	14.4%	13.9%	24.1%	18.6%	16.8%	14.0%	11.8%	10.0%	9.7%
Online penetration %			0.6%	1.2%	1.9%	2.2%	2.4%	2.9%	3.3%	3.7%	4.0%	4.3%	4.6%	4.8%
OTC drugs			13.3	19.9	25.9	25.9	31.3	31.8	35.5	39.4	43.6	47.4	51.0	54.9
YoY %					30.0%	0.1%	20.8%	1.7%	11.6%	11.1%	10.6%	8.7%	7.7%	7.6%
Online penetration %			5.4%	8.7%	10.6%	9.7%	11.3%	11.0%	11.8%	12.6%	13.4%	14.0%	14.5%	15.0%
Consumer health market	50	63	79	105	116	126	136	146	155	164	174	183.8	192.4	200.6
YoY %		25.6%	24.9%	32.6%	10.7%	8.7%	7.9%	7.0%	6.5%	6.0%	6.0%	5.4%	4.7%	4.3%
Online penetration %	19.7%	22.6%	27.0%	34.7%	35.6%	37.8%	38.0%	38.3%	38.6%	38.9%	39.2%	39.4%	39.5%	39.6%
Pet care market	15	19	26	34	40	48	56	65	74	85	98	108.9	120.5	131.1
YoY %		33.5%	32.6%	31.4%	18.9%	19.1%	16.0%	16.7%	15.0%	14.5%	14.5%	11.5%	10.7%	8.7%
Online penetration %	36.2%	39.4%	42.9%	48.0%	50.3%	52.9%	54.0%	55.7%	56.9%	58.1%	59.7%	60.5%	62.0%	63.0%
Total online healthcare product sales market			125.4	173.0	207.0	228.4	255.4	282.5	312.9	345.1	379.4	411.4	442.4	472.6
YoY %					38.0%	19.7%	10.4%	11.8%	10.6%	10.8%	9.9%	8.4%	7.5%	6.8%
Online penetration %			6.5%	9.5%	10.5%	11.5%	12.2%	12.8%	13.6%	14.3%	15.0%	15.6%	16.0%	16.4%

E = MSe Source: Company data, Morgan Stanley Research

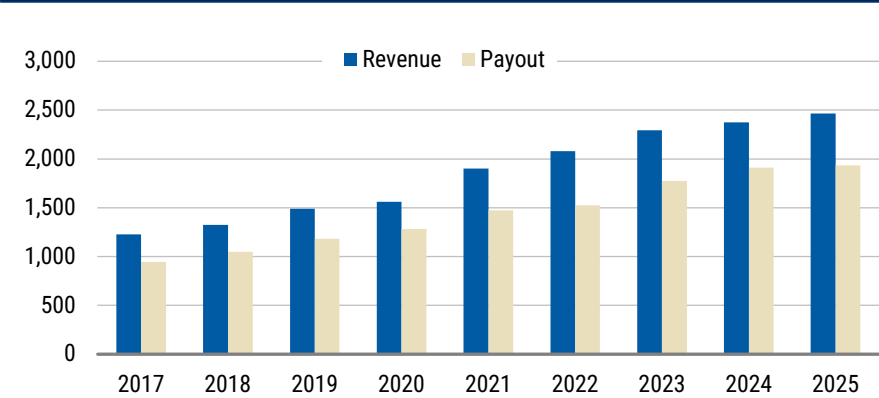
Internet Health – AI Diffusion in China Healthcare



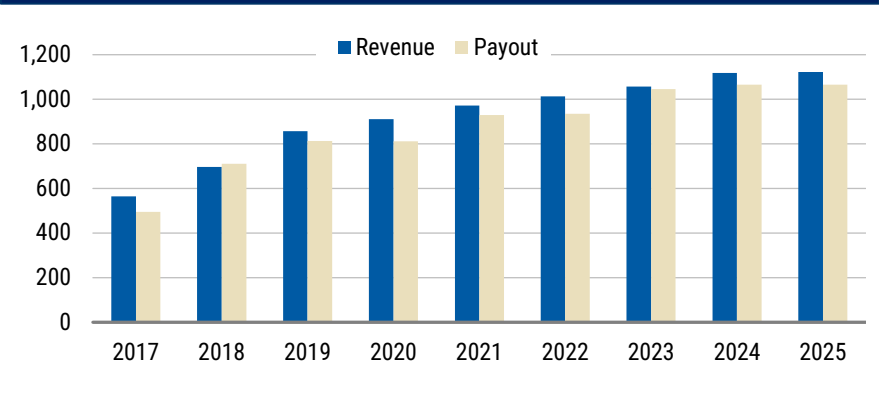
Source: Morgan Stanley Research.

Healthcare Services – Deepening DRG/DIP Reform and Self-Help Initiatives

Revenue and expenditures of UEBMIS



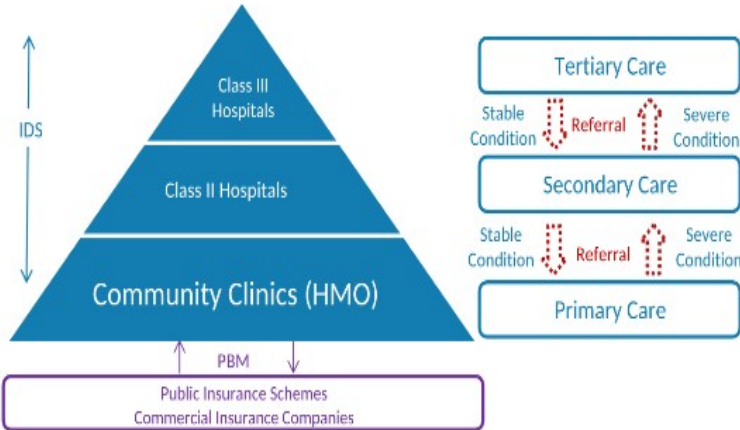
Revenue and expenditures of URBMIS



Source: NHSA, Morgan Stanley Research

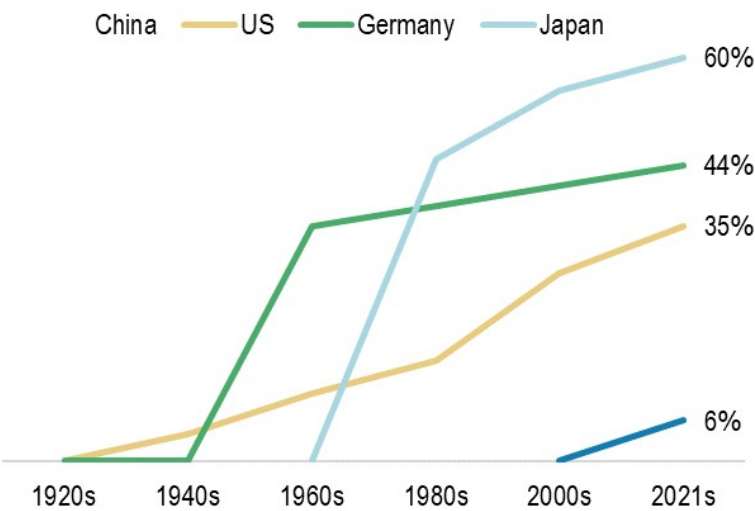
MS China healthcare service coverage

Company	Therapeutic area
Aier Eye Hospital	Ophthalmology
Gushengtang	TCM services
Hygeia	Oncology specialty hospitals
Jinxin	IVF (In vitro fertilization)
Beauty Farm	Beauty, aesthetics, and sub-health

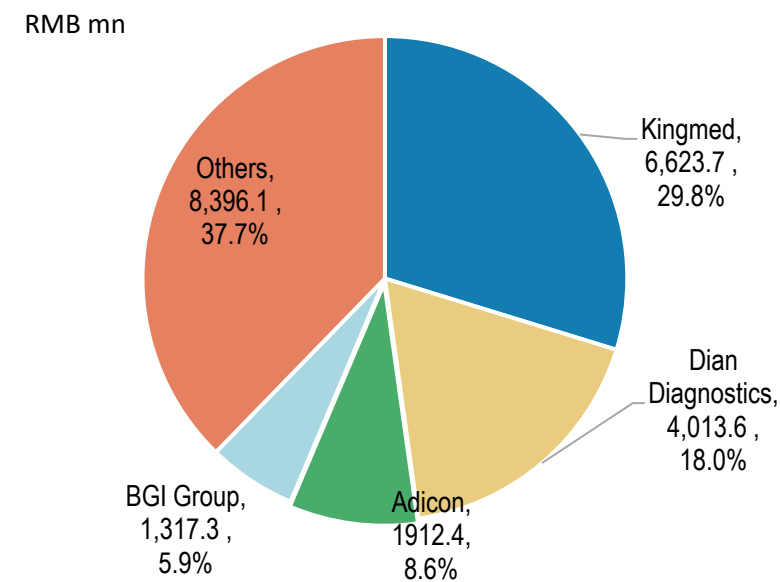


Healthcare Services – Clinical Labs

Penetration of ICLs in China lags far behind that in developed countries



Top 4 ICL players accounted for 62.3% market share by 2021 ICL revenue (including Covid-19 testing)

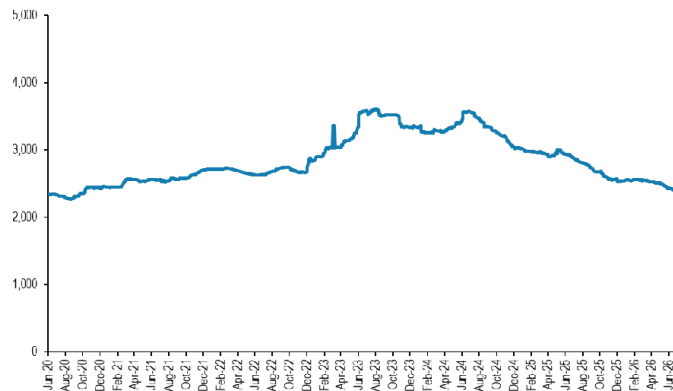


Source: Frost & Sullivan, company data, Morgan Stanley Research

TCM: Still Going Through a Rough Patch

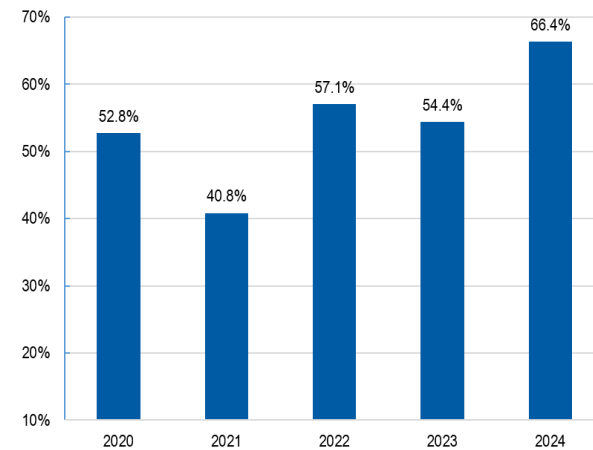
- Consumption demand, input cost, government reimbursement controls and tender price cuts continued to hamper earnings performance.
- The 2025 pilot program permitting the use of imported bezoar has driven a sharp decline in natural bezoar prices, from RMB1.65mn/kg at the start of 2025 to Rmb520k/kg in June 2026.
- TCM companies provide the most stable cash flows and highest dividend payouts in China Healthcare space. Some examples include Jiangzhong, Dong E E Jiao and Yunnan Baiyao.

TCM cost index declined 6% YTD



Source: WIND, Morgan Stanley Research.

TCM A-shares aggregate dividend payout ratios (2020-2024)



Source: FactSet; Morgan Stanley Research. Note: Dividend payout ratios are calculated using data from 72 constituents.

Retail Pharmacies: Easing Regulatory Headwinds

Muted SSSG:

- April SSSG declined 1.0% YoY, while year-to-date SSSG was flat (up 0.3% YoY). Linger factors such as regulatory spot checks, soft consumption and price cuts all played a part.

Industry consolidation:

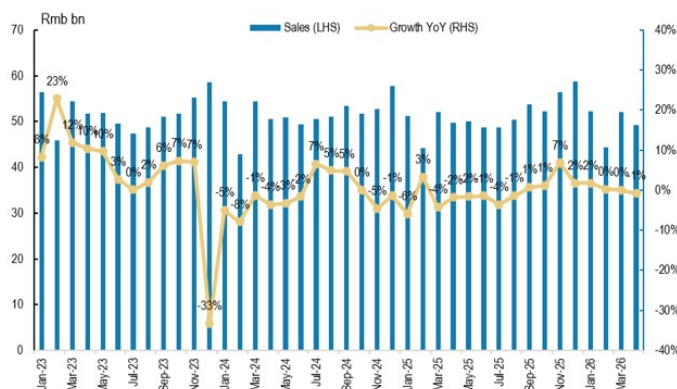
- Net store closures in 2025 amounted to ~22,000, bringing the total number of pharmacies to 680,000 by year-end.
- Commentaries still pointed to a further industry-wide 30% contraction by store numbers from peak (~700,000) over three to five years, with closures concentrated in small- to mid-sized pharmacies and lower-tier cities.
- Leading chains are back in expansion mode through M&A, franchising and self-operated (2026 target: DSL +3,000, Yifeng +2,000, LBX +2,100), with franchising as the primary source of growth given its asset-light profile and fast access to underpenetrated markets.

Tightened regulatory environment:

- Policy direction is shifting toward higher compliance standards and a more integrated role for pharmacies in China's medical system. Ongoing policy trends include: end-to-end drug traceability, integrated healthcare centre transition, whitelisting items for reimbursement through personal accounts, etc.

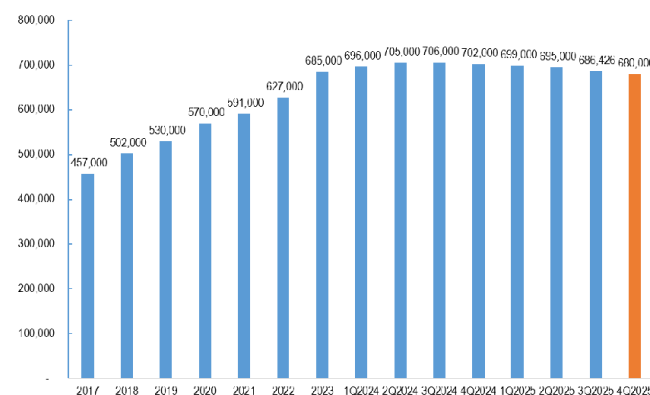
We expect earnings growth in 2026 to be driven by cost optimization through: 1) pruning down of low efficiency stores; and 2) AI initiatives to improve operational efficiency. Top line will depend on sales of TCMs, private labels and franchising.

Pharmacy industry monthly SSSGs



Source: MENET Pharmacy Panel; Morgan Stanley Research. Note: SSSG = same-store sales growth

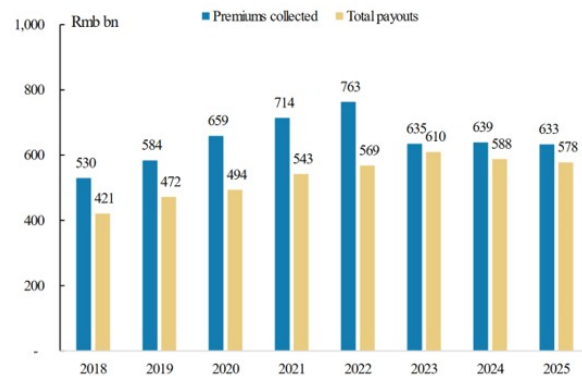
Pharmacy industry store network



Source: Sinohealth; Morgan Stanley Research.

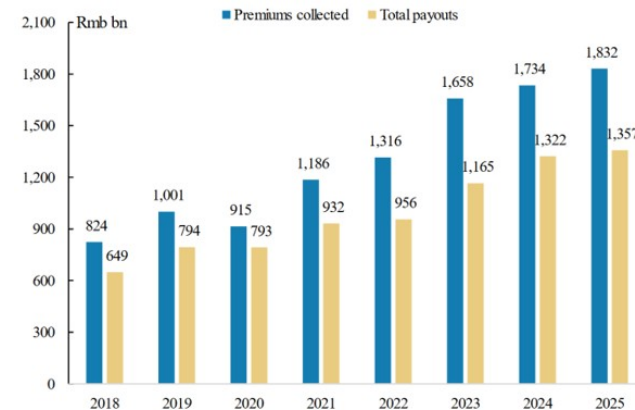
Retail Pharmacies: China's Medical Insurance Individual Account Reform Pressured Discretionary Spending at Pharmacies

Annual income statement of individual accounts



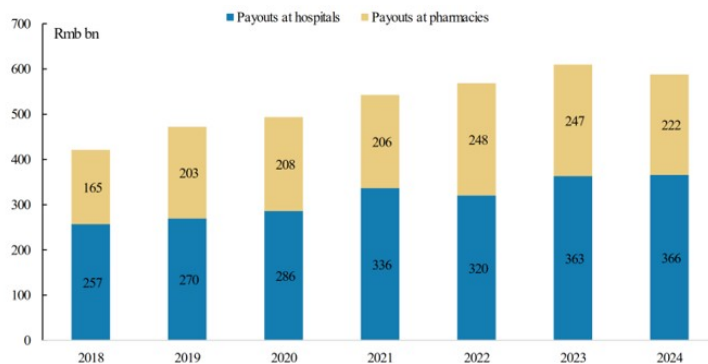
Source: NHSA; Morgan Stanley Research.

Annual income statement of communal pool



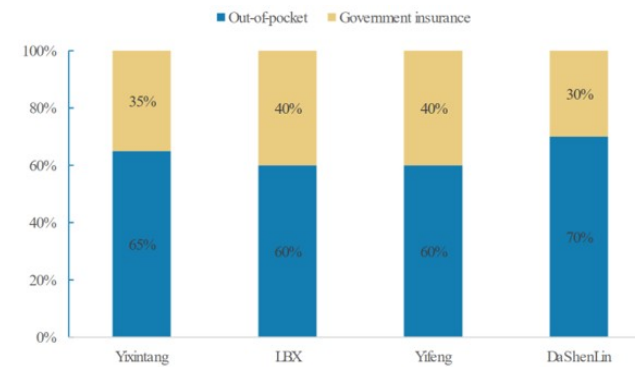
Source: NHSA; Morgan Stanley Research.

Payout of individual accounts at pharmacies



Source: NHSA; Morgan Stanley Research.

Revenue sources of top pharmacy chains (2025)



Note: Over 95% of government insurance payment to pharmacies is through individual accounts. Source: Company data; Morgan Stanley Research.

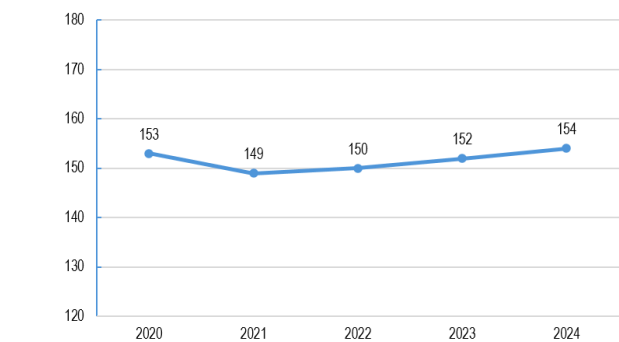
Distributors: Minimal Sector Growth

Pharmaceutical market growth in China



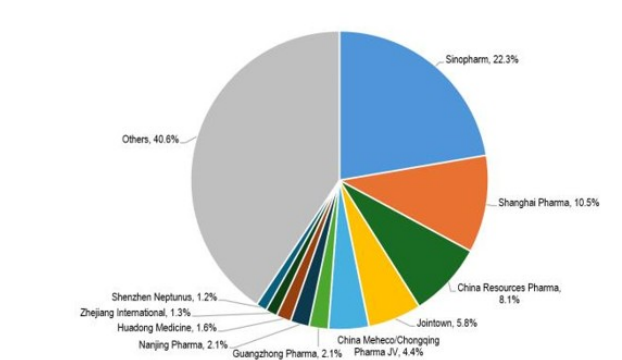
Source: MENET data and estimate (2025), Morgan Stanley Research.

Average accounts receivable days of China distributors



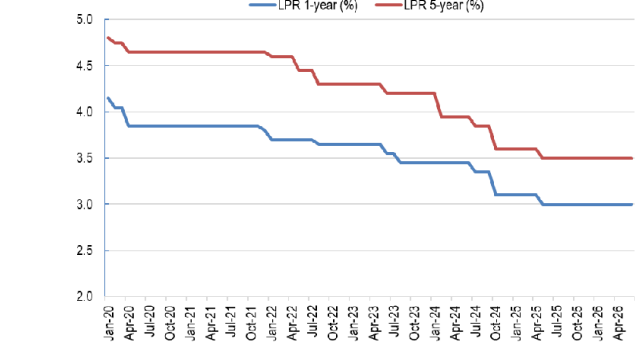
Source: Ministry of Commerce; Morgan Stanley Research. Note: Above shows average receivable days for 630 distributors in the healthcare sector.

China healthcare distributor market share (2024)



Source: Ministry of Commerce; Morgan Stanley Research.

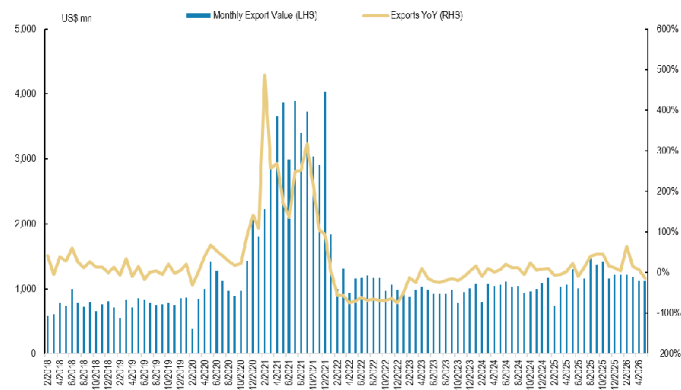
China loan prime rate



Source: Wind, Morgan Stanley Research.

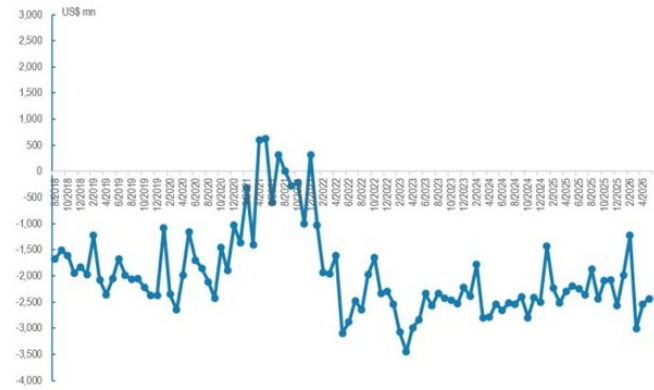
Active Pharmaceutical Ingredients (APIs)

China’s monthly pharmaceutical exports (mainly APIs)



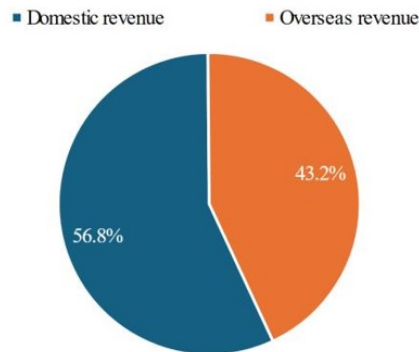
Source: China Customs; Morgan Stanley Research.

China’s pharmaceutical trade deficit



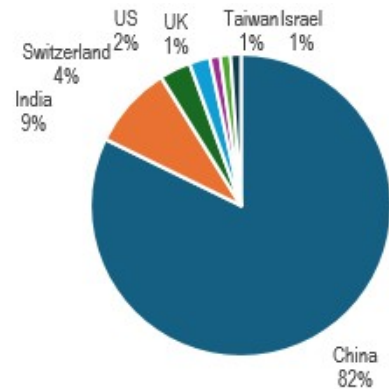
Source: China Customs; Morgan Stanley Research.

Chinese API companies generated 43% of revenue from exports (2024)



Note: The group consists of 38 constituents. Source: FactSet; Morgan Stanley Research.

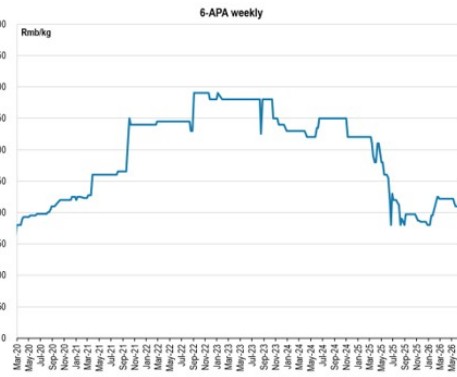
Over 80% of US semaglutide DMF holders are from China



Source: US FDA; Morgan Stanley Research

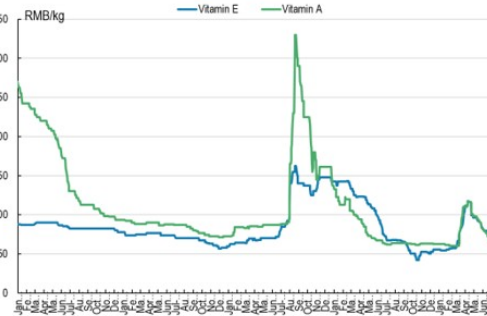
API: Selected API Price Trends

6APA prices



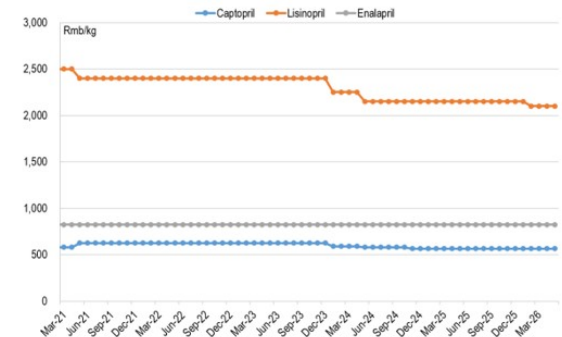
Source: Wind, Morgan Stanley Research.

Vitamin prices



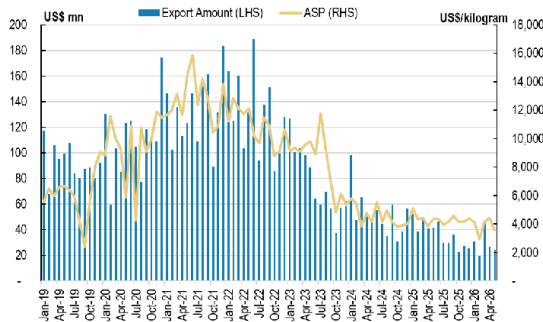
Source: Wind, Morgan Stanley Research.

ACE inhibitor prices



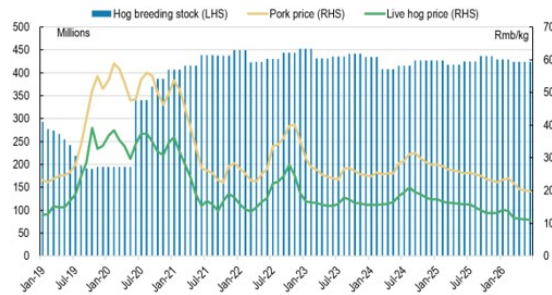
Source: Wind, Morgan Stanley Research.

Heparin export value and prices



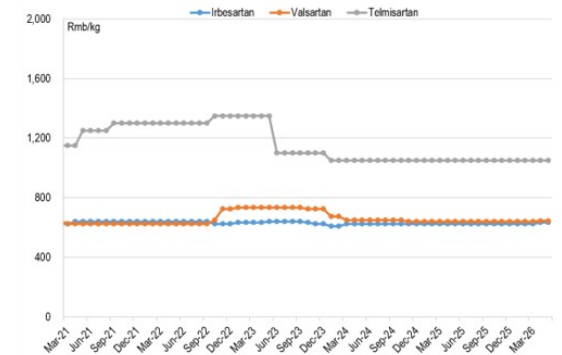
Source: Wind, Morgan Stanley Research.

Hog prices in China (input factor)



Note: Hog intestinal mucosa is used in the manufacturing process for crude heparin. Source: Wind, Morgan Stanley Research. Note: Hog intestinal mucosa is an input to crude heparin.

ARB prices



Source: Wind, Morgan Stanley Research.

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Global Stock Ratings Distribution

(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: China Healthcare

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/06/2026)
Alexis Yan, CFA		
3SBio (1530.HK)	O (08/01/2025)	HK\$19.45
Adicon Holdings Ltd (9860.HK)	O (08/03/2023)	HK\$4.13
Aier Eye Hospital Group (300015.SZ)	U (07/08/2024)	Rmb8.48
Alibaba Health Information Technology (0241.HK)	U (05/28/2025)	HK\$3.35
Angelalign Technology Inc (6699.HK)	E (03/17/2023)	HK\$75.70
Beauty Farm Medical and Health Industry (2373.HK)	O (01/21/2026)	HK\$18.15
Beijing Tiantan Biological Products Corp (600161.SS)	O (05/27/2024)	Rmb12.36
China Resources Boya Bio-pharmaceutical (300294.SZ)	E (05/27/2024)	Rmb15.28
CSPC Pharmaceutical Group (1093.HK)	O (08/15/2012)	HK\$8.23
Dian Diagnostics Group Co Ltd (300244.SZ)	E (07/12/2022)	Rmb19.42
Fosun Pharmaceutical (2196.HK)	O (09/08/2025)	HK\$16.75
Fosun Pharmaceutical (600196.SS)	O (09/08/2025)	Rmb24.08
Guangzhou Kingmed Diagnostics (603882.SS)	U (07/08/2024)	Rmb23.77
Gushengtang Holdings Ltd (2273.HK)	O (07/08/2024)	HK\$30.78
Hansoh Pharmaceutical Group Co Ltd (3692.HK)	O (07/16/2019)	HK\$33.98
Huadong Medicine Co Ltd (000963.SZ)	U (05/06/2024)	Rmb30.44
Hygeia Healthcare Holdings Co., Ltd. (6078.HK)	O (07/30/2020)	HK\$9.58
Imeik Technology Development Co Ltd (300896.SZ)	U (01/21/2026)	Rmb91.58
JD Health International Inc. (6618.HK)	E (05/28/2025)	HK\$37.78
Jiangsu Hengrui (600276.SS)	O (07/01/2025)	Rmb56.77
Jiangsu Hengrui (1276.HK)	O (07/01/2025)	HK\$60.75
Jinxin Fertility Group Ltd (1951.HK)	U (07/14/2025)	HK\$2.14
Mindray Bio-Medical (300760.SZ)	O (07/15/2020)	Rmb140.60
Ping An Healthcare and Technology (1833.HK)	E (05/28/2025)	HK\$7.60
Shandong Weigao (1066.HK)	E (07/10/2020)	HK\$3.26
Shanghai United Imaging Healthcare Co (688271.SS)	E (02/21/2025)	Rmb106.75

Shenzhen Edge Medical (2675.HK)	O (02/16/2026)	HK\$41.40
Shenzhen New Industries (300832.SZ)	O (05/28/2024)	Rmb40.97
Sichuan Kelun Pharmaceutical Co Ltd (002422.SZ)	U (05/16/2025)	Rmb47.73
Simcere Pharmaceutical Group (2096.HK)	E (05/16/2025)	HK\$12.03
Sino Biopharmaceutical (1177.HK)	O (04/09/2019)	HK\$5.05
Clinton Ng		
APT Medical Inc (688617.SS)	O (10/21/2025)	Rmb194.48
China Medical System (0867.HK)	E (05/16/2025)	HK\$12.16
MicroPort Scientific Corp. (0853.HK)	E (09/25/2023)	HK\$6.83
Peijia Medical Ltd (9996.HK)	O (06/18/2020)	HK\$4.26
Zylox-Tonbridge Medical Technology Co. (2190.HK)	O (08/05/2021)	HK\$19.73
Jack Lin		
Abbisko Cayman Ltd (2256.HK)	O (11/17/2021)	HK\$11.59
Akeso, Inc. (9926.HK)	O (05/28/2020)	HK\$101.90
Duality Biotherapeutics Inc (9606.HK)	O (05/22/2025)	HK\$224.80
Everest Medicines Ltd (1952.HK)	E (03/15/2024)	HK\$28.64
HUTCHMED (China) Ltd (0013.HK)	E (05/29/2026)	HK\$18.42
HUTCHMED (China) Ltd (HCM.O)	E (05/29/2026)	US\$11.65
InnoCare Pharma Ltd (9969.HK)	O (05/29/2026)	HK\$13.99
Innovent Biologics Inc (1801.HK)	O (03/03/2026)	HK\$90.50
Insilico Medicine (3696.HK)	O (02/03/2026)	HK\$36.80
Keymed Biosciences Inc. (2162.HK)	O (08/10/2021)	HK\$86.85
Nanjing Leads Biolabs Co Ltd (9887.HK)	E (09/02/2025)	HK\$50.30
RemeGen Co., Ltd. (9995.HK)	E (05/08/2024)	HK\$87.85
VISEN Pharmaceuticals (2561.HK)	O (04/29/2025)	HK\$22.92
Zai Lab Ltd (ZLAB.O)	O (12/14/2023)	US\$19.08
Zai Lab Ltd (9688.HK)	O (12/14/2023)	HK\$15.05
Laurence Tam		
Acrobiosystems Co Ltd (301080.SZ)	O (09/11/2025)	Rmb49.60
Apeloa Pharmaceutical Co Ltd (000739.SZ)	O (02/28/2025)	Rmb18.46
Asymchem Laboratories. Inc (002821.SZ)	E (08/01/2025)	Rmb162.10
Asymchem Laboratories. Inc (6821.HK)	E (06/06/2023)	HK\$115.20
Beijing Tongrentang (600085.SS)	U (11/03/2014)	Rmb23.71
Beijing Tongrentang Chinese Medicine (3613.HK)	O (01/14/2015)	HK\$6.59
China National Accord Medicines Corp Ltd (000028.SZ)	U (07/25/2022)	Rmb21.13
China Resources Pharmaceutical Group Ltd (3320.HK)	O (06/16/2022)	HK\$4.57
China Resources Sanjiu Medical & Pharma (000999.SZ)	O (08/30/2019)	Rmb24.28
China Traditional Chinese Medicine (0570.HK)	U (01/17/2025)	HK\$1.43
DaShenLin Pharmaceutical (603233.SS)	O (07/25/2022)	Rmb17.20

Dong E E Jiao Co. (000423.SZ)	O (05/16/2024)	Rmb47.54
Fu Shou Yuan International Group Ltd (1448.HK)	E (03/19/2025)	HK\$2.64
Genscript Biotech Corporation (1548.HK)	O (08/14/2024)	HK\$13.99
Hangzhou Tigermed Consulting (300347.SZ)	O (08/01/2025)	Rmb48.90
Jiangzhong Pharmaceutical Co. Ltd. (600750.SS)	O (02/08/2024)	Rmb23.77
Joynn Laboratories China Co Ltd (603127.SS)	E (06/06/2023)	Rmb41.24
Joynn Laboratories China Co Ltd (6127.HK)	E (02/26/2024)	HK\$19.70
Jointown Pharmaceutical Group (600998.SS)	U (07/26/2021)	Rmb5.05
LBX Pharmacy Chain (603883.SS)	O (03/14/2022)	Rmb11.69
Medtide (3880.HK)	E (08/06/2025)	HK\$22.12
Nanjing King-friend Biochemical (603707.SS)	O (02/28/2025)	Rmb7.61
Pharmaron (3759.HK)	O (09/25/2024)	HK\$20.58
Pharmaron (300759.SZ)	E (09/25/2024)	Rmb30.80
Shandong Xinhua Pharmaceutical Co Ltd (000756.SZ)	U (02/28/2025)	Rmb14.87
Shanghai Pharmaceutical (601607.SS)	E (08/17/2021)	Rmb16.45
Shanghai Pharmaceutical (2607.HK)	O (08/17/2021)	HK\$12.00
Shenzhen Hepalink Pharmaceutical (002399.SZ)	U (06/16/2023)	Rmb9.65
Sinopharm Group (1099.HK)	O (02/10/2023)	HK\$17.24
Tasly Pharmaceutical Group Co. Ltd (600535.SS)	E (07/19/2024)	Rmb14.43
The United Laboratories (3933.HK)	E (06/13/2017)	HK\$9.75
Tofflon Science & Technology Group (300171.SZ)	E (09/11/2025)	Rmb11.82
WuXi AppTec Co Ltd (603259.SS)	O (01/17/2019)	Rmb122.97
WuXi AppTec Co Ltd (2359.HK)	O (01/17/2019)	HK\$155.50
WuXi Biologics Cayman Inc (2269.HK)	O (07/17/2017)	HK\$37.80
WuXi XDC Cayman Inc. (2268.HK)	O (12/22/2023)	HK\$63.45
Yantai Dongcheng Biochemicals Co Ltd (002675.SZ)	E (02/28/2025)	Rmb12.93
Yifeng Pharmacy Chain Co Ltd (603939.SS)	O (07/25/2022)	Rmb20.08
Yixintang Pharmaceutical (002727.SZ)	E (07/25/2022)	Rmb10.45
Yunnan Baiyao Group (000538.SZ)	O (10/11/2021)	Rmb49.28
Zhangzhou Pientzehuang Pharmaceutical (600436.SS)	U (01/21/2022)	Rmb114.95
Zhejiang Hisun Pharmaceutical Co. Ltd. (600267.SS)	U (06/01/2023)	Rmb10.95
Zhejiang Huahai Pharmaceutical Co. Ltd. (600521.SS)	O (06/01/2023)	Rmb16.80
Zhejiang Jiuzhou Pharmaceutical Co Ltd (603456.SS)	E (02/28/2025)	Rmb15.30
Zhejiang Medicine Co. Ltd. (600216.SS)	E (02/28/2025)	Rmb12.85

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.